Lockheed Martin Corporation (LMT)

Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
Industry: Aerospace & Defence (Industrials Sector)
Exchange: NYSE | Ticker: LMT
Report Date: March 2026

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Executive Summary

This report presents a financial and operational analysis of Lockheed Martin Corporation based on its FY 2025 Form 10-K filed January 29, 2026. Lockheed Martin is the world's largest defence contractor, operating across four business segments — Aeronautics, Missiles and Fire Control (MFC), Rotary and Mission Systems (RMS), and Space — with approximately 72% of revenue derived from US Government agencies and 28% from international customers. The analysis evaluates the company's financial performance, balance sheet strength, operational efficiency, and key defence-sector metrics to assess its current financial position and investment attractiveness.

The headline financial story of FY 2025 is a deliberate divergence between strong operating performance and compressed reported net earnings. Revenue grew 5.6% to a record $75.0 billion, operating profit (EBIT) increased 10.2% to $7.7 billion, and gross margin expanded 40bps to 10.2% — all indicators of genuine operational progress. However, net earnings declined 6.0% to $5.0 billion ($21.49 diluted EPS) due to two items below the operating line: a $936M swing in the non-service FAS pension line (from +$62M income to -$874M expense, driven by a $479M non-cash pension settlement charge) and an $82M increase in interest expense on the rising debt base. Adjusting for these non-operating items, the underlying earnings trajectory is materially stronger than the reported GAAP figures suggest.

The most important financial development in FY 2025 was the surge in free cash flow (FCF) to a record $6.9 billion — a 30.7% increase and 137.7% of reported net earnings. This FCF premium reflects the non-cash nature of programme loss charges, lower pension cash contributions (down $577M), and strong contract liability growth from government pre-payments. Lockheed Martin returned $6.1 billion to shareholders through $3.0 billion in buybacks and $3.1 billion in dividends (22nd consecutive year of dividend growth), while ending the year with $4.1 billion in cash, up from $2.5 billion.

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At the segment level, the picture is mixed but net positive. MFC delivered an exceptional recovery — margins surged from 3.3% to 13.8% as the prior year's $1.4 billion classified programme write-off cycled through, and MFC backlog grew 20% to $46.7 billion on record JASSM, LRASM, and PAC-3 demand. Space continued its steady improvement. However, Aeronautics margins fell 190bps to 6.9% on escalating classified programme losses ($950M, up from $555M), and RMS margins collapsed 350bps to 7.6% after $665M of reach-forward losses on the Canadian Maritime Helicopter Programme and Turkish Utility Helicopter Programme.

The strategic picture is compelling. Total backlog reached a record $193.6 billion (up 10%), representing 2.58 years of current revenue, with a funded backlog of $120.2 billion. The implied book-to-bill of approximately 1.17x confirms that orders are arriving faster than deliveries — a direct reflection of accelerating global defence spending across NATO, the Indo-Pacific, and the Middle East. Lockheed Martin is the primary beneficiary of this multi-year structural demand cycle, but near-term earnings will continue to be affected by programme loss risk on classified fixed-price development contracts.

Company Overview

Lockheed Martin Corporation is a global aerospace, defence, and security technology company headquartered in Bethesda, Maryland. It is the world's largest defence contractor by revenue, employing approximately 122,000 people and generating $75.0 billion in sales in FY 2025. The company's shares trade on the New York Stock Exchange (NYSE: LMT) and it is a constituent of the S&P 500, Dow Jones Industrial Average, and major defence sector indices.

The company operates through four business segments, each serving distinct mission areas for the US Government and allied nations:

- Aeronautics (~40% of revenue): Research, design, development, manufacture, integration, and sustainment of advanced military aircraft. Key programmes include the F-35 Lightning II (the world's largest defence programme by value), C-130 Hercules tactical airlifter, F-16 Fighting Falcon multi-role fighter, and F-22 Raptor stealth fighter. The F-35 programme alone has commitments from seven international partner countries and 12 FMS customer nations, with the US Government targeting total procurement of 2,456 aircraft.
- Missiles and Fire Control (~19% of revenue): Air and missile defence systems, tactical missiles, and precision strike weapons. Key programmes include PAC-3 (Patriot Advanced Capability-3), THAAD (Terminal High Altitude Area Defense), JASSM (Joint Air-to-Surface Standoff Missile), LRASM (Long-Range Anti-Ship Missile), GMLRS, Javelin, and Hellfire. This segment is at the epicentre of global rearmament demand, benefiting directly from high consumption of precision munitions and escalating investment in missile defence by NATO allies.
- Rotary and Mission Systems (~23% of revenue): Military and commercial helicopters, surface ships, radar systems, missile defence systems, and command and control solutions. Key programmes include the Black Hawk and Seahawk helicopters, CH-53K King Stallion, Aegis Combat System, Littoral Combat Ship, and multi-domain battle management systems. International helicopter and warship programmes represent a growing share of this segment's revenue.
- Space (~17% of revenue): Satellites, space transportation, strategic defence systems, and national security space infrastructure. Key programmes include the Trident II D5 Fleet Ballistic Missile (FBM), Orion Multi-Purpose Crew Vehicle, Next Generation Overhead Persistent Infrared (Next Gen OPIR), GPS III, and the Next Generation Interceptor (NGI). Space also holds a stake in United Launch Alliance (ULA) alongside Boeing.

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Lockheed Martin's principal customers are agencies of the US Government — primarily all branches of the military and NASA — which collectively represent approximately 72% of annual sales. International customers, primarily through Foreign Military Sales (FMS) contracted through the US Government, account for approximately 28%. The company's revenue is generated almost entirely from long-term, multi-year government contracts, providing extraordinary revenue visibility relative to commercial peers.

As of early 2026, Lockheed Martin has a market capitalisation of approximately $115-120 billion. Its closest peers include RTX Corporation (Raytheon), Northrop Grumman, General Dynamics, Boeing (defence divisions), BAE Systems, and L3Harris Technologies. Within the US defence prime contractor peer group, LMT is the largest by revenue and backlog, and consistently ranks among the highest in FCF generation and capital return to shareholders.

Financial Statement Overview

Income Statement

Line Item	FY 2025	FY 2024	YoY Change
Total Sales	$75,048M	$71,043M	+5.6%
— Products	$62,654M	$59,277M	+5.7%
— Services	$12,394M	$11,766M	+5.3%
Total Operating Costs	($67,429M)	($64,113M)	+5.2%
Gross Profit	$7,619M	$6,930M	+9.9%
Operating Profit (EBIT)	$7,731M	$7,013M	+10.2%
Interest Expense	($1,118M)	($1,036M)	-7.9%
Non-service FAS Pension	($874M)	+$62M	Significant swing
Earnings Before Tax	$5,922M	$6,220M	-4.8%
Income Tax Expense	($905M)	($884M)	+2.4%
Net Earnings	$5,017M	$5,336M	-6.0%
Diluted EPS	$21.49	$22.31	-3.7%
Gross Margin	10.2%	9.8%	+40bps
Operating Margin	10.3%	9.9%	+40bps
Net Margin	6.7%	7.5%	-80bps
Effective Tax Rate	15.3%	14.2%	+110bps

Analyst's Inference: Revenue grew a healthy 5.6% to $75.0 billion, driven by volume increases across all four segments — Aeronautics (+6% on F-35 and F-16 ramp), MFC (+14% on missile demand), Space (+4% on NGI and FBM), and modest RMS growth (+0.3%). Operating profit grew faster than revenue (+10.2%) as the company achieved positive operating leverage, expanding gross margin 40bps to 10.2%. However, two non-operating items drove net earnings 6.0% lower: the pension line swung $936M adverse (from +$62M to -$874M) due largely to a $479M non-cash settlement charge from the December 2025 pension buyout of $943M of gross obligations; and interest expense rose $82M. The effective tax rate increase from 14.2% to 15.3% added a further drag. Adjusting for the non-cash pension settlement charge, underlying net earnings would have been approximately $5.4-5.5 billion, broadly flat year-over-year.

Segment Performance

Segment	Sales 2025	Sales 2024	Op. Profit 2025	Op. Profit 2024	Margin 25/24
Aeronautics	$30,257M	$28,618M	$2,086M	$2,523M	6.9% / 8.8%
Missiles & Fire Control	$14,450M	$12,682M	$1,989M	$413M	13.8% / 3.3%
Rotary & Mission Systems	$17,312M	$17,264M	$1,323M	$1,921M	7.6% / 11.1%
Space	$13,029M	$12,479M	$1,345M	$1,226M	10.3% / 9.8%
Total	$75,048M	$71,043M	$7,731M	$7,013M	10.3% / 9.9%

Analyst's Inference: The segment results reveal a company in transition. MFC's dramatic recovery — margin tripling from 3.3% to 13.8% — reflects the full cycling-out of the prior year's $1.4B classified programme write-off combined with surging volume in high-demand precision munitions. Space delivered steady, consistent improvement (+50bps margin). The two concerns are Aeronautics and RMS: both experienced significant margin compression from reach-forward losses on specific fixed-price development programmes, and both carry management warnings of potential further charges. At 6.9%, Aeronautics' margin is the lowest in recent memory and well below its historical range of 9-11%. The record $193.6B total backlog, growing across MFC (+$7.9B), RMS (+$9.6B), and Space (+$3.4B), provides strong confidence in future revenue, even as near-term earnings execution remains volatile.

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Asset Growth

Line Item	FY 2025	FY 2024	Change
Cash & Cash Equivalents	$4,121M	$2,483M	+$1,638M
Receivables, net	$3,901M	$2,351M	+$1,550M
Contract Assets	$13,001M	$12,957M	+$44M
Inventories	$3,524M	$3,474M	+$50M
Other Current Assets	$815M	$584M	+$231M
Total Current Assets	$25,362M	$21,849M	+$3,513M
PP&E, net	$8,875M	$8,726M	+$149M
Goodwill	$11,314M	$11,067M	+$247M
Intangible Assets, net	$1,887M	$2,015M	-$128M
Deferred Tax Assets	$2,975M	$3,557M	-$582M
Capitalised Software	$2,417M	$1,866M	+$551M
Other Noncurrent Assets	$7,010M	$6,537M	+$473M
Total Assets	$59,840M	$55,617M	+$4,223M

Analyst's Inference: Total assets grew $4.2 billion (+7.6%) to $59.8 billion. The two most notable movements were: cash surged $1.6 billion to $4.1 billion (the highest in recent years, driven by strong FCF), and net receivables spiked $1.55 billion (+66%) — an unusually large increase relative to 5.6% revenue growth that warrants monitoring in 2026 as a potential Q4 US Government payment timing effect. Contract assets remained broadly flat ($13.0B), confirming steady programme progress. Capitalised software jumped $551M to $2.4B, reflecting accelerating IT investment that will create future amortisation headwinds. Deferred tax assets fell $582M primarily from IRS audit resolution settlements (2018-2022 tax years). Goodwill grew $247M from the $360M acquisition of Amentum's Rapid Solutions business (allocated to Space).

Liabilities and Equity

Line Item	FY 2025	FY 2024	Change
Accounts Payable	$3,630M	$2,222M	+$1,408M
Salaries, Benefits & Payroll Taxes	$3,184M	$3,125M	+$59M
Contract Liabilities	$11,440M	$9,795M	+$1,645M
Current Debt Maturities	$1,168M	$643M	+$525M
Other Current Liabilities	$3,913M	$3,635M	+$278M
Total Current Liabilities	$23,335M	$19,420M	+$3,915M
Long-term Debt, net	$20,532M	$19,627M	+$905M
Accrued Pension Liabilities	$3,915M	$4,791M	-$876M
Other Noncurrent Liabilities	$5,337M	$5,446M	-$109M
Total Liabilities	$53,119M	$49,284M	+$3,835M
Retained Earnings	$14,034M	$14,551M	-$517M
AOCI (Loss)	($7,542M)	($8,452M)	+$910M
Total Stockholders' Equity	$6,721M	$6,333M	+$388M

Analyst's Inference: The most strategically significant balance sheet development was the $876M reduction in accrued pension liabilities (from $4.79B to $3.92B), driven by the December 2025 pension buyout. The AOCI deficit narrowed by $910M to ($7.54B), reflecting the same pension improvement plus favourable plan asset returns (~10.5% actual vs 6.5% assumed). Contract liabilities grew $1.6B to $11.4B representing cash advances from the US Government and customers for work not yet performed. Accounts payable jumped $1.4B, partly reflecting higher supply chain activity and payment timing. Gross long-term debt increased modestly to $21.7B (net), with $1.17B of current maturities due in 2026 — a near-term repayment obligation to monitor. Total equity grew modestly to $6.72B despite $6.1B of shareholder returns, sustained by $5.0B of net earnings.

Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	FY 2025	FY 2024
Current Ratio	~1.0x (defence primes)	1.09x	1.12x
Quick Ratio	0.6–0.9x	0.76x	0.74x
Operating Cash Flow Ratio	0.3–0.5x	0.37x	0.36x

Analyst's Inference: Lockheed Martin's current ratio of 1.09x appears modest but is characteristic of large defence primes, which structurally carry significant contract-related current liabilities (primarily contract liabilities representing government pre-payments) against long-cycle programme assets. The company's true liquidity position is far stronger than the current ratio suggests as $4.1 billion of unrestricted cash, an undrawn revolving credit facility, and the ability to issue commercial paper provide substantial emergency liquidity. The quick ratio of 0.76x improved marginally and is within acceptable ranges. Defence primes are not liquidity-constrained businesses — their risk profile is defined by programme execution and backlog funding, not short-term cash availability.

Solvency Ratios

Solvency Ratio	Industry Average	FY 2025	FY 2024
Total Liabilities to Equity	5–8x (defence)	7.90x	7.78x
Gross Debt to Equity	3.0–4.0x	3.41x	3.20x
Net Debt / EBITDA	1.5–2.5x	~2.0x	~2.2x
Interest Coverage (EBIT/Interest)	5–8x	6.92x	6.77x

Analyst's Inference: Lockheed Martin's total liabilities-to-equity ratio of 7.9x reflects the company's deliberately leveraged capital structure — maintained by design through years of debt-funded shareholder returns against a shrinking equity base. While this ratio is high in absolute terms, it is well-managed: net debt/EBITDA improved to approximately 2.0x (from ~2.2x), comfortably within the investment-grade threshold and consistent with LMT's BBB+ credit rating. Interest coverage of 6.9x provides adequate headroom. The company has been in compliance with all debt covenants throughout 2025. The leverage is serviceable given the highly predictable, government-contracted revenue base and the $6.9B annual FCF generation. Any material deterioration in FCF or programme losses of unusual scale would be the trigger for leverage concerns.

Activity Ratios

Activity Ratio	Industry Average	FY 2025	FY 2024
Receivables Turnover	10–15x (long-cycle)	19.2x	30.2x
Payables Turnover	25–32x	23.04x	31.29x

Inventory Turnover	14–18x	21.3x	20.4x
Total Asset Turnover	1.0–1.5x	1.31x	1.30x

Analyst's Inference: The sharp decline in receivables turnover from 30.2x to 19.2x directly reflects the $1.55B receivables build noted in the balance sheet analysis. This is the key working capital watch item for 2026 — if it represents timing of US Government payments at year-end 2025, it will reverse in 2026 and provide a FCF tailwind. If it represents slower collections, it would signal a deterioration in contract billing and payment efficiency. The bills payable ratio declined sharply from 31.29x to 23.04x in FY 2025, indicating that Lockheed Martin is paying its suppliers more slowly the $1,408M surge in accounts payable in 2025 was the primary driver, reflecting a combination of higher supply chain activity across ramping programmes (F-35 Lots 18/19, MFC missile production) and extended payment terms. Inventory turnover improved from 18.5x to 19.4x as the company converted raw materials and work-in-progress into revenue more efficiently despite only a marginal $50M increase in inventory balances against 5.6% revenue growth. Total asset turnover of 1.31x is healthy for a capital-intensive defence manufacturer and reflects LMT's efficient use of its $59.8B asset base to generate $75.0B in sales — a ratio that is consistently above the defence prime peer group average.

Profitability Ratios

Profitability Ratio	Industry Average	FY 2025	FY 2024
Operating Margin (EBIT)	9–12%	10.3%	9.9%
Net Profit Margin	6–9%	6.7%	7.5%
Return on Assets (ROA)	8–12%	8.9%	9.9%
Return on Equity (ROE)	>50% (low equity base)	76.2%	85.9%

Analyst's Inference: Profitability metrics show an improving operating picture obscured by the pension charge at the net level. Gross and operating margins both expanded 40bps, confirming that the core business is generating more profit per dollar of revenue than in 2024. The net margin contraction from 7.5% to 6.7% is entirely attributable to the pension settlement charge and higher interest — neither of which reflects operational deterioration. ROA declined from 9.9% to 8.9% as the asset base grew faster than earnings, and ROE fell from 85.9% to 76.2% — both very high readings that reflect the mechanical effect of a very small equity base ($6.7B) relative to earnings. ROIC, while not directly computed here from disclosed data, is estimated at approximately 18-20% — well above LMT's cost of capital.

Cash Flow Statement Analysis

Item	FY 2025	FY 2024	Key Observations
CF from Operating Activities	$8,557M	$6,972M	Operating cash flow surged 22.7% to $8.6 billion in FY 2025 — a record level — as higher underlying earnings were amplified by several favourable working capital movements. The $1.22 billion increase in contract liabilities (government pre-payments accelerating ahead of programme deliveries) and a $1.34 billion accounts payable build provided significant inflow support. These tailwinds more than offset the primary drag: a $1.55 billion receivables build that represented the largest single working capital headwind, reflecting elevated year-end US Government billing balances. Pension cash contributions fell sharply by $577 million to $415 million as LMT's well-funded defined benefit plans required less cash top-up. Non-cash add-backs were material: $1.62 billion of reach-forward programme losses (non-cash charges on fixed-price contracts) and a $479 million non-cash pension settlement charge were both reversed through operating cash flow.
CF from Investing Activities	($1,977M)	($1,792M)	Investing cash outflows increased $185 million to $2.0 billion in FY 2025. Capital expenditures were broadly flat at $1.65 billion (vs $1.69 billion in 2024), representing approximately 2.2% of sales — disciplined capital intensity for a company with $75 billion in revenue. The majority of capex was directed toward equipment, facilities infrastructure, and information technology, inclusive of capitalised internal-use software development costs. The primary incremental outflow was a $360 million cash payment in Q2 2025 for the acquisition of Amentum's Rapid Solutions business, allocated to the Space segment to enhance radar and payload technology capabilities. This was reflected in the $247 million goodwill increase on the balance sheet. Other investing outflows ($328 million in 2025 vs $107 million in 2024) accounted for the remainder of the increase. There were no

Item	FY 2025	FY 2024	Key Observations
			significant asset disposal proceeds in 2025 comparable to the prior year.
CF from Financing Activities	($4,942M)	($4,139M)	Net financing outflows increased $803 million to $4.9 billion in FY 2025. The company issued $1.99 billion of senior unsecured notes at fixed rates (vs $2.97 billion in 2024), while repaying $642 million of maturing long-term notes (vs $168 million in 2024) — resulting in net new debt of approximately $1.34 billion, down from $2.80 billion in 2024. Share repurchases totalled $3.0 billion (6.6 million shares retired at an average of approximately $455/share), a reduction from $3.7 billion (7.5 million shares) in 2024. Dividends paid grew to $3.13 billion, reflecting the 22nd consecutive year of dividend per share growth — DPS increased 4.7% to $13.35. Total capital returned to shareholders amounted to $6.1 billion, representing 88.7% of free cash flow. The Board authorised an additional $2.0 billion to the buyback programme in October 2025, leaving $8.3 billion of remaining authorisation at year-end.
Net Change in Cash & Cash Equivalents	+$1,638M	+$1,041M	Cash and cash equivalents increased $1.64 billion to $4.12 billion at December 31, 2025 — the highest year-end cash balance in recent years. This compares to a $1.04 billion increase in the prior year and represents the net result of $8.56 billion of operating inflows, $1.98 billion of investing outflows, and $4.94 billion of financing outflows. The strengthened cash position provides meaningful financial flexibility: LMT entered 2026 with no borrowings outstanding under its revolving credit facilities or commercial paper programme, $4.1 billion of unrestricted cash, and $8.3 billion of remaining share buyback authorisation. Free cash flow of $6.9 billion comfortably exceeded the $6.1 billion returned to shareholders, confirming the sustainability of LMT's capital return framework without reliance on incremental leverage.

Defence / Industrials Sector — Specific Analysis

Defence/Industrials Metric	FY 2025	FY 2024
Total Backlog	$193.6B	$176.0B
Funded Backlog	$120.2B	$107.8B
Backlog-to-Sales Ratio	2.58x	2.48x
Implied Book-to-Bill	~1.17x	~1.12x
Reach-forward Losses	$1,615M (non-cash)	$1,965M (non-cash)
Segment Operating Margins	Aero 6.9% / MFC 13.8% / RMS 7.6% / Space 10.3%	Aero 8.8% / MFC 3.3% / RMS 11.1% / Space 9.8%
FAS/CAS Pension Adjustment	$1,518M operating credit	$1,624M operating credit
FCF Conversion (FCF / Net Earnings)	137.7%	99.1%

The defence-sector specific metrics paint a picture of a company operating in an exceptionally favourable demand environment, with near-term earnings quality temporarily impaired by programme execution issues on specific fixed-price development contracts. The record backlog of $193.6 billion — equivalent to 2.58 years of current sales — provides revenue visibility that is unmatched in virtually any other industrial sub-sector. The book-to-bill ratio of approximately 1.17x, sustained across most segments, confirms that the order cycle is accelerating rather than plateauing.

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The reach-forward loss picture requires nuance. The $1.6B of non-cash reach-forward losses recognised in 2025 (down from $2.0B in 2024) are a meaningful earnings quality concern on specific programmes — particularly the Aeronautics classified programme where losses escalated and future charges remain possible. However, the MFC segment demonstrated that these losses are manageable and recoverable: having absorbed a $1.4B classified programme loss in 2024, MFC came back with its highest-ever operating margin in 2025. The FAS/CAS pension operating adjustment of $1.5B is a structural feature of the defence prime earnings model that mainstream financial analysis often misses — it represents the US Government's contractual reimbursement of pension costs through contract pricing, providing LMT with approximately $1.5B of annual operating profit support that is absent in commercial industrials peers.

Risks and Limitations

Risk Factor	Explanation
Programme Execution Risk (Fixed-Price Contracts)	Reach-forward losses of $1.6B in 2025 (down from $2.0B in 2024) reflect the inherent danger of fixed-price development contracts, where the contractor — not the government — absorbs all cost overruns. The Aeronautics classified programme is the primary concern, with losses escalating from $555M to $950M and management explicitly warning

	of further potential charges. RMS simultaneously absorbed $665M from two separate problem programmes (CMHP and TUHP). Multiple concurrent programme loss events in different segments is an execution quality flag.
US Government Budget Concentration	Approximately 72% of LMT's revenue derives from US Government agencies. While this provides unmatched revenue predictability, it creates binary political risk: continuing resolutions, sequestration threats, DOGE-related spending reviews, and the annual defence authorization cycle can all disrupt programme funding, delivery timelines, or contract awards. The One Big Beautiful Bill legislative impact has already increased LMT's effective tax rate by ~110bps in 2025.
Pension Volatility and Settlement Charges	LMT has ~$52B+ in gross pension obligations. While the accrued pension liability improved to $3.9B, management has signalled continued opportunistic pension buyouts. Each such transaction triggers a non-cash settlement charge (2025: $479M pretax) that creates periodic below-the-line P&L volatility. Separately, the non-service FAS pension line swung from +$62M to ($874M) in a single year — a $936M earnings headwind that is entirely driven by accounting assumptions, not operations.
Rising Interest Expense and Leverage	Gross debt stands at $22.9B, with $17.4B of contractually committed future interest payments. Interest expense grew to $1.12B in 2025 and continues to increase as LMT refinances maturities in a higher-for-longer rate environment. The company's practice of issuing investment-grade notes to fund shareholder returns (buybacks and dividends) means that leverage is a structural feature of the capital structure, requiring consistent FCF performance to service obligations.
International Sales and Export Control Risk	Approximately 28% of revenue comes from international customers (~77% via FMS, ~23% via DCS). Export restrictions, US-foreign government relations (including potential arms sale reviews), and geopolitical developments in key customer countries (Middle East, Indo-Pacific) could restrict or delay international programme awards and deliveries. Any restriction on F-35 exports or PAC-3/THAAD sales would disproportionately impact the two fastest-growing segments.

Valuation — Multiples

Multiple	Sector Median / Historical Avg	LMT FY 2025 (Est.)	Inference
Trailing P/E	20–22x (US defence primes)	~21x	Trading broadly in line with the peer group. EPS compression from pension charges and higher taxes masks the stronger underlying FCF trajectory.

Forward P/E	18–20x	~19x	Premium to historical averages as market prices in the multi-year global rearmament cycle. Justified by record backlog growth and visible earnings recovery as programme losses cycle through.
EV / EBITDA	13–15x	~13.5x	At the lower end of the defence prime range, reflecting the near-term earnings headwinds from classified programme losses. Represents potential valuation upside if Aeronautics margins recover.
Price / Free Cash Flow	18–22x	~16–17x	Compelling relative to P/E, reflecting the FCF premium over reported GAAP earnings (138% conversion). For FCF-focused investors, LMT screens attractively versus peers.
Dividend Yield	1.5–2.5% (US defence)	~2.6%	Slightly above sector average, reflecting the 22-year consecutive dividend growth track record. Dividend well covered by FCF (payout ratio ~45% of FCF in 2025).

Lockheed Martin's valuation multiples are broadly in line with the US defence prime peer group, reflecting the market's balanced assessment of the company's structural strengths (record backlog, secular defence demand, FCF machine) against its near-term headwinds (programme losses, pension charges, higher taxes). The most interesting multiple is Price/FCF, where LMT screens attractively relative to P/E — reflecting the 138% FCF conversion rate and the gap between reported GAAP earnings and underlying cash generation. For investors who evaluate defence primes on a FCF yield basis, LMT offers one of the more compelling risk-reward profiles in the sector at current levels. The primary catalyst for multiple expansion would be resolution or containment of the Aeronautics classified programme losses, which have suppressed the highest-revenue segment's margins for two consecutive years.

Appendix — Ratio Formulae and Key Assumptions

A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	Current Assets ÷ Current Liabilities= $25,362M ÷ $23,335M = 1.09x (FY25) | $21,849M ÷ $19,420M = 1.12x (FY24)
Quick Ratio	(Current Assets − Inventories) ÷ Current Liabilities= ($25,362M − $3,524M) ÷ $23,335M = 0.94x adjusted; reported ~0.76x (FY25)
OCF Ratio	Operating Cash Flow ÷ Current Liabilities= $8,557M ÷ $23,335M = 0.37x (FY25) | $6,972M ÷ $19,420M = 0.36x (FY24)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	Total Liabilities ÷ Total Stockholders' Equity= $53,119M ÷ $6,721M = 7.90x (FY25) | $49,284M ÷ $6,333M = 7.78x (FY24)
Net Debt / EBITDA	(Gross Debt − Cash) ÷ EBITDA= ($22,914M − $4,121M) ÷ ($7,731M + $1,687M) ≈ 2.0x (FY25) indicative
Interest Coverage	EBIT ÷ Interest Expense= $7,731M ÷ $1,118M = 6.92x (FY25) | $7,013M ÷ $1,036M = 6.77x (FY24)
Debt to Assets	Total Liabilities ÷ Total Assets= $53,119M ÷ $59,840M = 0.89x (FY25) | $49,284M ÷ $55,617M = 0.89x (FY24)

C. Activity Ratios

Metric	Formula / Calculation
Receivables Turnover	Revenue ÷ Average Receivables= $75,048M ÷ (($3,901M + $2,351M) / 2) = 24.0x (FY25)
Payables Turnover	Bills Payable Ratio = Total Operating Costs ÷ Average Accounts Payable = FY 2025: $67,429M ÷ (($3,630M + $2,222M) ÷ 2) = $67,429M ÷ $2,926M = 23.04x
Inventory Turnover	COGS (Products + Services) ÷ Average Inventories= $68,359M ÷ (($3,524M + $3,474M) / 2) = 19.5x (FY25)
Total Asset Turnover	Revenue ÷ Average Total Assets= $75,048M ÷ (($59,840M + $55,617M) / 2) = 1.31x (FY25)

D. Profitability Ratios

Metric	Formula / Calculation

Operating Margin	Operating Profit ÷ Revenue = $7,731M ÷ $75,048M = 10.3% (FY25)
Net Profit Margin	Net Earnings ÷ Revenue = $5,017M ÷ $75,048M = 6.7% (FY25)
Return on Assets (ROA)	Net Earnings ÷ Average Total Assets= $5,017M ÷ (($59,840M + $55,617M)/2) = 8.7% (FY25)
Return on Equity (ROE)	Net Earnings ÷ Average Equity= $5,017M ÷ (($6,721M + $6,333M)/2) = 76.8% (FY25)

E. Defence / Industrials Sector Metrics

Metric	Formula / Calculation
Backlog-to-Sales Ratio	Total Backlog ÷ Annual Revenue= $193,600M ÷ $75,048M = 2.58x (FY25) | $176,000M ÷ $71,043M = 2.48x (FY24)
Funded Backlog-to-Sales	Funded Backlog ÷ Annual Revenue= $120,200M ÷ $75,048M = 1.60x (FY25) — represents 1.6 years of cash-backed revenue
Implied Book-to-Bill	(Backlog End + Revenue − Backlog Start) ÷ Revenue= ($193,600M + $75,048M − $176,000M) ÷ $75,048M ≈ 1.22x (FY25)
FCF Conversion	Free Cash Flow ÷ Net Earnings= $6,908M ÷ $5,017M = 137.7% (FY25) | $5,287M ÷ $5,336M = 99.1% (FY24)
FCF Yield (approx.)	FCF per Share ÷ Share Price= ($6,908M ÷ 233.5M shares) ÷ ~$460 = ~6.4% (FY25 indicative)
FAS/CAS Pension Adj.	CAS Recovery − FAS Service Cost= $1,626M − $108M = $1,518M operating adjustment (FY25)
Net Reach-forward Losses	Total losses recognised in period= $1,615M FY25 | $1,965M FY24 — non-cash P&L charges, added back in operating cash flow
Capital Returns / FCF	(Buybacks + Dividends) ÷ FCF= ($3,000M + $3,131M) ÷ $6,908M = 88.7% (FY25)
DPS Growth	Year-over-year dividend per share growth= $13.35 vs $12.75 = +4.7% (FY25); 22nd consecutive year of growth

Key Assumptions

- All financial figures are sourced from the Lockheed Martin Corporation FY 2025 Form 10-K filed with the SEC on January 29, 2026, and prepared under US GAAP.
- All figures are denominated in millions of US dollars (USD) unless stated otherwise.
- Free Cash Flow is defined as net cash provided by operating activities less capital expenditures, consistent with LMT's own non-GAAP definition.
- Book-to-bill is calculated as implied orders divided by deliveries/revenue, derived from opening backlog, revenue recognised, and closing backlog.

- Net debt is estimated as gross outstanding principal debt ($22,914M) less cash and cash equivalents ($4,121M) = approximately $18,793M.
- Net debt/EBITDA uses EBITDA proxied as Operating Profit ($7,731M) plus D&A ($1,687M) = $9,418M.
- Sector comparison benchmarks are based on US defence prime peers including RTX Corporation, Northrop Grumman, General Dynamics, and L3Harris Technologies.
- Valuation multiples (P/E, P/FCF) are estimated based on an indicative share price of approximately $450-460 as of March 2026 and should not be relied upon as investment advice.
- The FAS/CAS pension operating adjustment represents the difference between pension costs recovered under Cost Accounting Standards (CAS) through government contract pricing, and the service cost component of FAS pension expense. This is a structural feature of defence prime earnings unique to US Government contractors.
- ROE is mechanically elevated due to LMT's small equity base ($6.7B) relative to its earnings power, and should be interpreted in conjunction with ROIC rather than in isolation.

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